

dollar of earnings as the bull market progresses.

- **Secular bear market:** After an extended secular bull run, a period marked by rising volatility, frequent cyclical counter-trend rallies and retreats in an economically challenging environment. The dominant feature is that investors become less and less willing to pay the same amount for that dollar of earnings.

Two factors are missing from the percentage-only definition: The broader secular underpinnings, and the psychological concept of earnings multiple expansion or contraction.

Societies change over time: Waves of industrial, technological, and economic progress make their way into employees' wages, consumers' pockets, and corporate profits. Improving standards of living are reflected in the psychology of an era. Not surprisingly, markets do well as investors become willing to pay more for a dollar of earnings as the cycle progresses. Multiple expansion, in the form of rising price-to-earnings ratios, drives returns even more than rising profits. These are not short-lived or modest phenomena. They represent significant change affecting all of society.^{[178](#)}

When we look at the sources of market gains, earnings improvements are often a much smaller factor than multiple expansion. Three-quarters of the gains of the 1982–2000 bull market were attributable to rising price-to-earnings ratios. At the start of that bull market, in December 1982, S&P 500 earnings in dollars for the year were \$31.72; 18 years later, at the end of the bull market, they had more than doubled to \$70.39.^{[179](#)}

But during the same period of time, the broad indexes gained 1,000%. The P/E ratio for the index was about 7 at the start of that cycle and ended at about 34.^{[180](#)} Most of the market's gains were attributable to the psychology of paying more for the same dollar of earnings; actual increasing corporate earnings only accounted for a fraction of the gains (about a quarter by my estimates).